

NTGR pitch deck

PITCH — NTGR — VERDICT

PROPOSED — PENDING ADJUDICATION — no entry today; a 0.4%-of-book starter is proposed *only after* the Q3 print (~2026-10-28, unconfirmed) and a live broker poll, on a pure valuation case, because both legs the original idea rested on failed in court.

What we believe

NETGEAR at \$20.625 is a cheap, debt-free hardware company whose share count is shrinking about 6.5% a year, and whose stock price is 44% below its 52-week high and only 8.6% above its 52-week low.

The arithmetic (all from the 10-Q filed 2026-08-06, [accession 0001193125-26-338402](#)):

Item	Value
Shares outstanding (2026-07-30)	27,179,021
Market value at \$20.625	\$560.6M
Cash + short-term investments	\$267.9M (\$9.86/share, 47.8% of market value)
Borrowings	zero (leases \$45.8M only)
Enterprise value excluding leases	\$292.7M
That against ~\$660–670M of revenue	0.44x sales
Book value per share	\$16.79
Buyback authorization remaining	\$75M = 13.4% of the whole company

So the buyer at \$20.625 pays about \$10.77 a share for the operating business and gets \$9.86 a share of cash. The operating business is being valued at roughly four months of its own revenue.

What we do **not** believe, and this is the important part: we no longer believe the two stories that made this idea interesting in the first place.

- 1. The margin-mix story is dead.** The idea was that record Enterprise gross margin would eventually pull the company back to profit. That experiment has already run. In the first half of 2026, gross profit rose \$11.8M on *lower* revenue (\$132.1M vs \$120.3M on \$327.4M vs \$332.6M), Enterprise segment contribution rose \$9.5M, and the operating loss did not move — \$(22.0)M this year against \$(22.3)M last year. Every dollar of margin gain was spent. This is not a hypothesis waiting on the next print; it is a completed test with a negative result.
- 2. The regulatory story is smaller than advertised and cuts both ways.** The FCC put foreign-produced routers on its Covered List on 2026-03-23 ([DA-26-286A1](#)). NETGEAR got a Conditional Approval to keep selling. The circulating read — “TP-Link is banned, NETGEAR wins the shelf” — is wrong in both directions: Amazon’s eero also holds an approval (so it isn’t a

monopoly), and NETGEAR's own permission carries an expiration date of **2027-10-01**, which the 10-Q filed 4.5 months after the FCC action does not mention anywhere.

What survives is a valuation case with a bounded downside — no debt, no covenants, no funding need — and no engine. That is worth a minimum starter, not a real position.

What the market believes

The market believes this is a melting ice cube with a cash pile, and it is not obviously wrong.

- Analysts model roughly a \$(0.12) loss per share for Q3 on an adjusted basis (Zacks). That is about a \$3.2M loss — reconcilable with the company's own **GAAP** guide of a 12.0% to 9.0% operating loss margin (\$14.9–21.0M loss) once you subtract stock compensation, amortization and restructuring, which ran \$12.5M in Q2. So the street is not asleep; it is quoting the adjusted number the company leads with.
- The company guided Q3 revenue to \$165–175M against \$184.6M a year ago ([Q3'25 results release](#)) — down 7.9% at the midpoint, versus down 1.2% in Q2. The decline is speeding up by about 6.7 percentage points, and the normal seasonal third-quarter build (+8.2% sequentially last year) has flattened to +0.8%.
- At 8.6% off the 52-week low with no bounce, the price is not signalling a fight. Nobody is arguing about this stock. It is a name that has quietly been marked down to the value of its balance sheet.

The market's implicit statement is: *the operating business is worth close to nothing, but the cash is real*. Our own work does not contradict that. It refines it.

Why we might have edge

Four things we verified in primary documents that we could not find in any sell-side note:

1. **The operating-leverage failure is decomposed.** Anyone can see the operating loss. Fewer have noticed that gross profit rose \$11.8M and every cent of it was absorbed by operating expense — and specifically *which* expense: R&D +\$4.8M (+12.4%) and sales & marketing +\$5.9M (+10.0%), while general & administrative rose \$0.2M (+0.6%) and restructuring was flat. That composition matters. It is voluntary reinvestment into the growing segment, not cost inflation. It could stop next quarter, or it could go on forever. It is the single variable that decides this stock.
2. **The regulatory read that is circulating is wrong in a checkable way.** The 2027-10-01 date is real but it is the standard term of the regime — Adtran has the same date, Amazon Leo and eero have 2027-10-31 — and the grant's stated condition is a time-sensitive plan to establish or expand US-based manufacturing. So it is neither an NTGR-specific death sentence nor a monopoly. It is a real but shared 2026–27 shelf-share window with a renewal test attached. Both the bullish version and our own red bench's bearish version were wrong.
3. **The subscription cushion is attached to the wrong segment in most write-ups.** The results release says annual recurring revenue is “approximately \$42 million” company-wide and

that the 15% growth attaches to the **home networking** business. The originating pitch had it as \$41.6M of Enterprise subscriptions with 558,000 subscribers — those numbers appear nowhere in the filed release. This inverts the read: the Consumer segment declined 9.4% and posted a \$(1.7)M contribution loss *while* carrying the growing subscription revenue, which means the consumer *hardware* is decaying faster than the segment line shows. It also means Enterprise attach — the thing the bull case needs — is disclosed by nobody and measured by nobody.

4. **The per-share arithmetic is quietly working.** Weighted diluted shares fell from 28,911,000 to 27,041,000, down 6.5% year over year. Buybacks were \$33.0M in the first half against \$15.7M a year earlier. If revenue merely stops falling, the per-share line improves on its own.

Why it might be priced in

Honestly: mostly, yes.

- A 44% drawdown and 0.44x sales *is* the market saying “this is shrinking.” We are not discovering that.
- The operating-loss-is-flat fact is in a public 10-Q that anyone can read. It is under-narrated, not hidden.
- The FCC action is five months old and has been written up by major law firms. There is nothing proprietary in our regulatory work except the correction of a wrong narrative — and correcting a narrative is not the same as having information.
- The revenue deceleration may be mechanical rather than franchise decay. Q3’25 itself contained Mobile hotspots at \$21.1M (–20.7%) and service-provider revenue at \$17.1M (down from \$23.2M). That runoff alone could explain a large share of the \$14.6M year-over-year gap in the guide. Anyone with a segment model already knows this.
- **We have no proprietary data on this name at all.** Both of our independent consumer-signal sensors (app-store review velocity for NETGEAR Insight and for Nighthawk/Orbi) failed to resolve a store listing. We could not poll live prices, average daily volume, short interest, or borrow — the broker connection was denied at both benches. Every number in this deck came from documents that are free and public.

That is the honest summary of the edge: a better-decomposed reading of a public filing, and no data nobody else has.

What could go wrong

Failure narrative 1 — The reinvestment never stops (most likely). R&D and sales spending keep rising to defend a shrinking hardware franchise. Revenue keeps sliding 8%+ a year. The operating loss stays at \$40M+ annualized, the buyback gets cut to fund it, and the cash pile that is 48% of the market value starts funding losses instead of retiring stock. In two years the “cheap on cash” case has less cash and fewer reasons. *Tripwire exists*: operating expense excluding restructuring, quarter over quarter, read off the Q3 and Q4 prints. If it rises again, the thesis is dead on arrival.

Failure narrative 2 — The regulatory window closes badly. NETGEAR never files the US-manufacturing plan the Conditional Approval is conditioned on, the approval lapses on 2027-10-01, and the segment that is 47% of revenue loses its right to be sold in the US. Meanwhile competitors that *do* build the US plan take the shelf. *Tripwire exists but is weak*: we can watch 8-K filings and the FCC docket, but the renewal decision happens inside DoW/DHS on a timeline neither of us can see, and the company has already demonstrated it will not disclose this topic in its 10-Q. We would likely learn from a press report, not a filing.

Failure narrative 3 — the one with NO monitorable tripwire. In Q3'25 the company disclosed Home Networking (\$72.6M), Mobile (\$21.1M) and service-provider revenue separately. As of Q2'26 those are merged into a single "Consumer" line of \$79.6M with no restated sub-lines. So the fastest-decaying piece is now unmeasurable from the outside — and our only two independent instruments on it (app-review velocity on Nighthawk/Orbi and on Insight) both returned "unresolved," meaning we own zero sensors on the thing that decays. A large retailer de-stocking, a component or capacity shock at the Vietnamese contract manufacturer (Gongjin/T&W, Haiphong), or a tariff change on Vietnam-origin goods would show up in our data only after it has already shown up in the price. **Unknown-unknown class: instrument-blind sub-line decay — the issuer's disclosure perimeter contracted in the same period that our only independent sensor failed to resolve.** There is no fix available before the Q3 print. It can only be closed by (a) the company restoring sub-line disclosure, or (b) us resolving the app-store listing IDs, which is a work item we have not done.

The reflexive and structural leg. Three things about *us*, not about the company:

- **Our size against volume is unmeasured.** The broker poll was denied, so we do not know average daily volume, short interest, or borrow cost. A 0.4% position in a \$560M company is probably immaterial to the tape, but "probably" is not a measurement, and we do not get to size a position on a guess about our own exit. This is why the proposal is gated on a live poll rather than priced today.
- **The company is the marginal buyer, and we would be standing behind it.** \$75M of authorization is 13.4% of the entire market value, and management bought at an average of \$23.04 in Q2 — above today's \$20.625. That is a supportive bid, which is good. But it also means the dominant predicted flow in this stock is a discretionary corporate one that can be switched off at a board meeting, with no announcement required, precisely when cash gets tight — the same condition under which we would most want a bid. We must not confuse a buyback for a floor.
- **Doctrine interactions.** Our rule that a clean court defaults to a minimum starter, and that going flat requires a *named* kill, is what produces the 0.4% here — both benches produced named findings, but none is fatal (no debt, no covenant, no going-concern), so the honest output is a starter, not zero and not a real position. Against that, this would be a new taxable position on a short-term clock, so any trim inside twelve months is taxed at ordinary rates — the trim level below must be checked against the one-year date before it fires, not after. And two 13G amendments landed within two weeks (2026-07-31, 2026-08-13), which tells us institutional ownership is moving in a way we cannot size.

If this position loses money, the most likely reason will be that management kept spending the gross-margin gains to defend a franchise that shrank anyway — so the cheapness never converted into anything, the buyback that was quietly doing the work got cut to fund the losses, and we sat in dead money for two years while learning nothing we could not have learned by waiting.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Enterprise margin recovery reaches the operating line	Full income statement, 10-Q filed 2026-08-06	Gross profit +\$11.8M on lower revenue; operating loss flat at \$(22.0)M vs \$(22.3)M	No — refuted
Net loss deteriorated 63%, proving operations are worsening (our red bench)	Line-by-line decomposition	Other income fell \$12.1M → \$3.3M, a \$8.9M swing = 113% of the \$7.8M net-loss deterioration. Operating loss actually <i>improved</i> \$306K	Bench error — red graded a treasury effect as an operating verdict
Red’s proposed replacement test: operating income excluding restructuring	Recomputed both halves	\$(16.4)M vs \$(16.7)M — also flat. The metric cannot decide anything	Bench error — the proposed metric is inert
2027-10-01 is an NTGR-specific regulatory cliff (our red bench)	Peer-set check across the same FCC approvals	Adtran 2027-10-01; Amazon Leo and eero 2027-10-31. Standard regime term, and the grant contains its own renewal condition	Bench error — red inverted a shared term into a company-specific cliff
“TP-Link banned, NETGEAR wins” (the originating pitch)	Same FCC materials	eero is also approved. Real but <i>diluted</i> share window	No — refuted
ARR is \$41.6M / 558k subscribers / Enterprise (the originating pitch)	Filed results release	“Approximately \$42 million” company-wide; the 15% growth attaches to home networking. The 558k figure is not in the filed release	Pitch error — wrong segment
That ARR discrepancy is a cross-venue disclosure divergence (our red bench)	Compared release wording to transcript figure	\$41.6M vs “approximately \$42M” is rounding. Prior-year disclosure also put ARR under Home Networking	Bench error — red fired a divergence detector on a rounding difference and tagged it as market-relevant when it only corrects our own pitch
Q3 guide implies acceleration in decline	Prior-year 8-K vs current guide	\$184.6M → \$165–175M = −7.9% at midpoint vs −1.2% in Q2	Yes
Company guided a GAAP operating loss the pitch omitted	Results release, verbatim	GAAP operating margin (12.0)% to (9.0)% = \$14.9–21.0M loss	Yes — but it follows mechanically from the adjusted guide, so it is a presentation omission, not suppressed news
Cash is being burned	Cash flow + balance sheet	Cash fell \$55.2M; buybacks \$33.0M + operating cash flow \$(8.5)M = 75% of the decline. Majority is capital return, not burn	Partly — the burn is smaller than the headline

Claim	How checked	Found	Confirmed?
Balance sheet is genuinely unlevered	Balance sheet	No borrowings line at all; leases \$45.8M only	Yes
Valuation	Share count off the 10-Q cover × pack price	27,179,021 sh × \$20.625 = \$560.6M; EV \$292.7M = 0.44x sales; book value \$16.79/sh	Yes
Share count is shrinking	Weighted diluted shares, both periods	28,911K → 27,041K, -6.5%	Yes — and neither bench priced it until the second pass
Consumer segment is homogeneous	Compared Q3'25 to Q2'26 segment presentation	Three lines merged into one; sub-lines no longer separable	No — and both benches used the merged line as if it were homogeneous before catching it
Next print is 2026-10-28	Checked for a company scheduling release	None issued. Date is derived from a data vendor; consistent with 2025-10-29 and 2024-10-30, both Wednesdays, but unverified	No — unconfirmed
Our own evidence pack's financial data	Compared pack XBRL to the as-filed 10-Q	Pack's newest cash-flow row was 2025-03-30 and newest stock-comp row 2025-06-29 — no 2026 data at all . Both benches independently discarded it and refetched the filing	Infrastructure error in our own pack — flagged for repair
Live price, volume, short interest	Attempted broker poll at both benches	Permission denied both times. No independent price, no liquidity measurement	No — session-level gap
Independent consumer signal	App-review velocity on Insight and Nighthawk/Orbi	Both returned unresolved store listings	No — the sensor we most needed did not run

PROPOSED ENTRY BANDS

Today: no entry. Two preconditions, both hard:

1. The Q3 print must land (expected ~2026-10-28, unconfirmed — about 45 trading sessions out).
2. A live broker poll must succeed, giving us price, average daily volume, short interest and borrow. Sizing without a volume measurement is not permitted here.

Entry rung 1 — starter, 0.4% of book, at \$20.60 or below, and only if the Q3 print shows *both*: - revenue at or above the guide midpoint of \$170M, **and** - operating expense excluding restructuring **down** quarter over quarter.

If either condition fails, do not enter at any price in the \$19–21 band. The stock is only interesting if the spending stops.

Entry rung 2 — add 0.3% at \$18.00, conditional on rung 1's opex test still holding. At \$18.00 the operating business is priced at \$221M, or 0.33x sales.

Entry rung 3 — add 0.3% at \$16.80 (book value is \$16.79). At book, the operating business costs \$188M against \$660–670M of revenue — 0.28x sales — with \$9.86/share of cash underneath.

Maximum total position 1.0% of book.

Do not chase above \$23.04. That is the average price management itself paid in Q2 repurchases. Above it we are paying more than the best-informed buyer in the name paid, for a business we have already established has no operating engine.

Trim / exit levels (from the same valuation math): - \$27.00 — 0.7x enterprise value to sales. Trim half. *Check the one-year holding date first; inside twelve months this is taxed at ordinary rates and the trim should be weighed against holding for the long-term rate.* - **\$34.30** — 1.0x enterprise value to sales, just under the 52-week high of \$36.86. Exit the remainder. - **Re-underwrite, not automatic exit, if:** cash + short-term investments fall below \$200M, **or** the buyback is paused or the authorization goes unused for two consecutive quarters. Either removes the support that makes this a valuation case rather than a falling knife.

Ladder execution constraint: each rung sized at no more than 1% of measured average daily volume. Volume is currently unmeasured, so all three rung sizes above are provisional and must be re-derived after the live poll.

Catalyst dates: - ~**2026-10-28** — Q3 results. **Unconfirmed** — no company scheduling release has been issued. Watch for one from 2026-10-01 onward. - **Q3 print, same day** — Q4 guide. A Q4 guide at or above flat year over year would break the deceleration pattern and materially change this deck. - **2027-03-01** — the date until which non-approved foreign routers lose software-update rights under the FCC action. Shelf-share window's near edge. - **2027-10-01** — NETGEAR's Conditional Approval expires. Renewal turns on a US-manufacturing plan. This is the single dated risk on ~47% of revenue and the 10-Q does not mention it.

Court score: the two benches landed at 4/10 and 5/10 on whether this deserved a full adversarial hearing at all — call it 4.5. That is consistent with a minimum starter and inconsistent with anything larger.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 16.79 (deck-provisional: Book value per share; add rung 3 (+0.3%) to 1.0% max; 0.28x sales)
- filing watch: 8-K until 2027-02-20 (deck-provisional: Q3 results and Q4 guide: read opex ex-restructuring QoQ and other-income run-rate; a Q4 guide at or ab)
- dated pack NTGR|2026-10-01: NTGR: Start watching for NETGEAR's Q3 scheduling press release to confirm the print date (date confirmed=False)
- dated pack NTGR|2026-10-28: NTGR: Q3 2026 results and Q4 guide - the decisive print for opex and other income (date confirmed=False)

- dated pack NTGR|2027-03-01: NTGR: Date until which non-approved foreign routers lose software-update rights under FCC DA-26-286A1; near edge of the shelf-share window (
- dated pack NTGR|2027-10-01: NTGR: NETGEAR's FCC Conditional Approval expires; renewal conditioned on a US-manufacturing plan; undisclosed in the 10-Q (date confirmed=Fa

What remains unverified

- **The print date.** 2026-10-28 comes from a data vendor. NETGEAR has issued no scheduling release. Everything time-sensitive in this deck inherits that uncertainty.
 - **Liquidity and our own exit.** No average daily volume, no short interest, no borrow. We cannot currently answer “how long does it take us to get out.”
 - **Whether the revenue decline is franchise decay or mechanical runoff.** No segment-level guide was given. The merged Consumer line makes it unanswerable from disclosure alone.
 - **Enterprise subscription attach.** Now known to be measured by no disclosure at all — the recurring revenue the company reports is consumer-attached. The bull case's key variable is invisible.
 - **Whether the 2027-10-01 approval renews.** The renewal condition (a US-manufacturing plan) is known; whether NETGEAR intends to meet it is not, and the company has not addressed the topic in any filing.
 - **The exact expiry date's primary source.** The Covered List action itself is primary and quoted above; the 2027-10-01 expiry reached us via a law-firm alert and trade press, not from an FCC document we have read end to end. Treat the date as high-confidence but not filing-verified.
 - **Whether the reinvestment is discretionary.** We can see R&D and sales spending rose while G&A did not, which reads as a deliberate choice. We cannot verify that management can or will reverse it.
 - **Our own evidence pack.** Its financial-data block contained no 2026 periods. Both benches worked around it. The pack builder needs fixing before the next name, or a bench with less discipline will quote stale numbers.
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